

MUDRA, which stands for Micro Units Development & Refinance Agency Ltd., is a financial institution set up by Government of India for development and refinancing of micro units enterprises. It was announced by the Hon'ble Finance Minister while presenting the Union Budget for FY 2016. The purpose of MUDRA is to provide funding to the non-corporate small business sector through various Last Mile Financial Institutions like Banks, NBFCs and MFIs.

The biggest bottleneck to the growth of entrepreneurship in the Non–Corporate Small Business Sector (NCSBS) is lack of financial support to this sector. More than 90% of this sector does not have access to formal sources of finance. GoI is setting up MUDRA Bank through a statutory enactment for catering to the needs of the NCSBS segment or the informal sector for bringing them in the mainstream.

MUDRA would be responsible for refinancing all Last Mile Financiers such as Non-Banking Finance Companies, Micro Finance Institutions, Societies, Trusts, Section 8 Companies [formerly Section 25], Small Finance Banks and Regional Rural Banks which are in the business of lending to micro/small business entities engaged in manufacturing, trading and services activities as well as agri-allied activities. MUDRA would also partner with State/Regional level financial intermediaries to provide finance to Last Mile Financier of small/micro business enterprises.

Under the aegis of Pradhan Mantri MUDRA Yojana (PMMY), MUDRA has already created its initial products / schemes. The interventions have been named 'Shishu', 'Kishor', 'Tarun' and 'Tarun Plus' to signify the stage of growth / development and funding needs of the beneficiary micro unit / entrepreneur and also to provide a reference point for the next phase of graduation / growth to look forward to. The financial limit for these schemes are:-

- a. **Shishu** : covering loans upto 50,000/-
- b. **Kishor** : covering loans above 50,000/- and upto 5 lakh
- c. **Tarun** : covering loans above 5 lakh to 10 lakh
- d. **Tarun Plus** : covering loans above 10 lakh to 20 lakh (for those entrepreneurs who have availed and successfully repaid previous loans under the 'Tarun' category).

MUDRA's delivery channel is conceived to be through the route of refinance primarily to Banks/NBFCs/MFIs.

At the same time, there is a need to develop and expand the delivery channel at the ground level. In this context, there is already in existence, a large number of 'Last Mile Financiers' in the form of companies, trusts, societies, associations and other networks which are providing informal finance to small businesses.

Non–Corporate Small Business Segment (NCSB) comprising of millions of proprietorship / partnership firms running as small manufacturing units, service sector units, shopkeepers, fruits / vegetable vendors, truck operators, food-service units, repair shops, machine operators, small industries, artisans, food processors and others, in rural and urban areas.

Yes, MUDRA will be extending refinance support to RRBs for enhancing their liquidity.

MUDRA is a refinancing agency which will extend its funds to Last Mile Financiers to enable them to reach out to the sector. Access to finance in conjunction with rational price is going to be the unique

customer value proposition of MUDRA. It will use a variety of innovative financing means including technology to bring down the cost of funding for the ultimate borrower.

MUDRA loan is available through Banks/NBFCs/MFIs for such activities. All kind of manufacturing, trading and service sector activities can get MUDRA loan. Loans are categorised into Shishu, Kishor Tarun and Tarun Plus. These products have been designed to cater to customers operating at the lower end of the enterprise spectrum. The loans will be extended through MFIs, NBFCs, Banks, etc.

MUDRA loans are available in three categories. For small business, loans upto 50,000/- is available under the 'Shishu' category and beyond 50,000/- and upto 5 lakh under the 'Kishor' category. It also offers loans beyond 5 lakh and upto 10 lakh under the Tarun category and beyond 10 lakh and upto 20 lakh under the Tarun Plus category (for those entrepreneurs who have availed and successfully repaid previous loans under the 'Tarun' category). Depending on the nature of business and project requirement you can access finance from one of the intermediaries of MUDRA as per the norms.

Food Processing is an eligible activity for coverage under one of the MUDRA schemes. You can avail of assistance under MUDRA schemes for food processing from any financing banks/MFIs/NBFCs.

You can avail assistance under the 'Shishu' category through any banks/NBFCs/MFIs operating in your region, for setting up your own enterprise.

MUDRA operates a special refinance scheme for traders and shopkeepers. You can avail the facilities under the scheme as per your requirements from any banks/MFIs/NBFCs in the area.

You can avail assistance under the 'Shishu' category through any banks/NBFCs/ MFIs operating in your region for setting up your own enterprise.

Pradhan Mantri Mudra Yojana (PMMY) loans will be extended by all Public Sector Banks, Regional Rural Banks (RRBs), Small Finance Banks, Private Sector Banks, Foreign Banks, Micro Finance Institutions and Non-Banking Finance Companies. All loans sanctioned with a loan amount of upto 20 lakh for non-farm income generating activities will be branded as PMMY loans.

Monitoring of PMMY progress at the State level will be done through SLBC forum and at National level by MUDRA/Department of Financial Services, Government of India. For this purpose, MUDRA has developed a portal, wherein the Banks and other lending institutions directly feed their achievement details which are consolidated by the system and reports are generated for review.

Pradhan Mantri Mudra Yojana is a Government of India scheme, which enables a small borrower to borrow from Banks, MFIs, NBFCs for loans upto 20 lakh for non-farm income generating activities. Generally, loans upto 20 lakh sanctioned by Banks under Micro Small Enterprises is given without collaterals.

17. ARE CARPENTRY AND RO WATER PLANT INSTALLATION ELIGIBLE FOR THE LOAN? IF SO, WHAT IS THE MAXIMUM AND MINIMUM AMOUNT OF LOAN?

Carpentry and RO water plant installation, on a business mode, are eligible activities under MUDRA loan, if the loan amount is up to 20 lakh. The primary requirement for availing a MUDRA loan is to be an income generating activity under manufacturing, processing, trading and service sector as well as agri-allied activities and the loan amount is up to 20 lakh.

Any Indian Citizen who has a business plan for a non-farm income generating activity such as manufacturing, processing, trading or service sector whose credit need is up to 20 lakh can

approach either a Bank, MFI or NBFC for availing of MUDRA loans under PMMY. The usual terms and conditions of the lending agency may have to be followed for availing of loans under PMMY. The lending rates are as per the RBI guidelines issued in this regard from time to time.

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